26AVCV00577 26AVCV00577

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Case Number: 26AVCV00577 Hearing Date: September 8, 2026 Dept: A14

SUPERIOR COURT OF THE STATE OF CALIFORNIA

COUNTY OF LOS ANGELES – NORTH DISTRICT

ANABI OIL CORPORATION, a California corporation,

Plaintiff,

v.

PHOENIX THOTTAM, an individual, AKA PETER L. THOTTAM,

Defendant.

PHOENIX THOTTAM, an individual,

Cross-Complainant,

v.

ANABI OIL CORPORATION, a California corporation; and ROES 1 through 50, inclusive,

Cross-Defendants.

Case Number 26AVCV00577

[TENTATIVE]

RULING ON MOTION

Date of Hearing: September 8, 2026

Dept. A-14

Judge William H. Forman

I. Background

This is a breach of contract case involving a commercial fuel station and convenience store located on a parcel of real property located at 13100 Pearblossom Highway Pearblossom, CA 93553 (the Property). Defendant Phoenix L. Thottam (Defendant) moves for judgment on the pleadings and for declaratory relief regarding the invalidity, extinguishment, and non-enforceability of an asserted right of first refusal and supply covenant following a lease cancellation and forfeiture.

On April 20, 2026, Plaintiff Anabi Oil Corporation (Plaintiff) filed a Complaint against Defendant, asserting seven causes of action for (1) Breach of Contract – Memorandum of Supply Covenant and Right of First Refusal, (2) Breach of the Implied Covenant of Good Faith and Fair Dealing, (3) Specific Performance, (4) Quiet Title, (5) Injunctive Relief, (6) Unfair Business Practices (Bus. & Prof. Code, § 17200), and (7) Declaratory Relief.

Plaintiff asserts that it is a beneficiary of recorded property interests affecting the Property, specifically an irrevocable right of first refusal (ROFR) and exclusive fuel supply rights pursuant to a Memorandum of Supply Covenant and Right of First Refusal (the Memorandum), executed by Defendant and recorded against the Property on October 12, 2022. (Compl., ¶¶ 2-3, 14, Ex. A.) Plaintiff contends that Defendant is the owner, lessor, and person in control of the Property, and the grantor under the Memorandum, thereby legally obligating him to comply with its terms, including honoring Plaintiff’s ROFR and exclusive supply rights in connection with any transfer, lease, or operation of the Property. (Compl., ¶ 3.) Plaintiff alleges that it has been ready, willing, and able to exercise its rights under the Memorandum and has acted in good faith to preserve and enforce those rights, but in early 2026, Defendant began actively marketing the Property as a “Gas Station/C-Store Lease Opportunity,” detailing specific lease terms, operating requirements, financial qualifications, base rent, and lease durations, inviting prospective operators to submit proposals. (Compl., ¶¶ 18-20.) Plaintiff alleges Defendant has received numerous letters of interests from prospective tenants or operators constituting bona fide offers or the functional equivalent thereof, and thereby triggered Defendant’s duty to present said offers to Plaintiff with the opportunity to exercise its ROFR, but Plaintiff has failed and refused to do so and appears to intend to proceed with leasing or transferring the Property in violation of Plaintiff’s rights. (Compl., ¶¶ 21-25.)

On April 27, 2026, Defendant and Cross-Complainant Thottam filed his Answer and a Cross-Complaint against Plaintiff and Cross-Defendant Anabi and ROEs 1 through 50, asserting seven causes of action for (1) Declaratory Relief – No Mature ROFR Trigger / No Present Breach, (2) Declaratory Relief – No Land-Running Supply Covenant, Servitude, or Surviving Leasehold-Based Restriction, (3) Quiet Title, (4) Cancellation or Limitation of Written Instrument / Removal of Cloud, (5) Intentional Interference with Prospective Economic Advantage, (6) Negligent Interference with Prospective Economic Advantage, and (7) Unfair Business Practices (Bus. & Prof. Code section 17200 et seq.). Defendant asserts his position that Plaintiff’s interest in the Property is not a land-use covenant benefiting with the land, but that it was derivative of the prior retailer’s tenancy and terminated upon that retailer’s judicially cancelled and forfeited leasehold in the Property in Los Angeles County Superior Court Case No. 26AVCV00038. (Cross-Compl., ¶¶ 18-19.)

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On May 8, 2026, Defendant filed the present Motion for Judgment on the Pleadings and for Declaratory Relief.

On May 27, 2026, Plaintiff filed its Answer to the Cross-Complaint.

On July 9, 2026, Defendant filed a Notice of Supplemental Authority and Newly Discovered Evidence regarding a Lease Agreement signed by Defendant and Lessee for a commercial lease of the Property for operation of a petroleum service station and convenience store.

On August 25, Plaintiff filed its Opposition to Defendant's Motion for Judgment on the Pleadings and Declaratory Relief and its Objections to Defendant's Declaration in Support of the Motion and Defendant's July 9, 22, 25 and August 9, 2026 filings.

On August 26, 2026, Plaintiff filed a Reply.

II. Preliminary Procedural Issues

Meet and Confer Requirement – Before filing a motion for judgment on the pleadings, the moving party is required to meet and confer at least five days before the date the motion is filed in person, by telephone, or by video conference with the party who filed the pleading subject to the motion for the purpose of determining whether an agreement can be reached that would resolve the objections to be raised in the motion. (Code Civ. Proc., § 439 , subd. (a).) The moving party shall file and serve with the motion a declaration stating the means by which the parties met and conferred and that the parties did not reach an agreement to resolve the issues raised, or that the party who filed the pleading failed to respond or otherwise failed to meet and confer in good faith. (Ibid.)

Here, Defendant has not put forth any declaration or statement indicating any attempt to meet and confer was made. Defendant's argument on reply that the parties have sufficiently met and conferred through filings in this case is unmeritorious, as the language of the meet and confer requirement set forth in Code of Civil Procedure section 439 expressly requires that the moving party must meet and confer in person, by telephone, or by video conference to try and come to an agreement. Furthermore, Defendant's meet and confer declaration references only dates of correspondence predating the filing of the operative Complaint in this case. Such communications do not establish any valid meet and confer effort regarding deficiencies in the pleadings, as no pleadings had been filed. Defendant has not asserted he has made any effort to comply with the meet and confer requirement, and Plaintiff's counsel confirms that at no point and in no manner since the filing of the Complaint has Defendant attempted to initiate any further meet and confer regarding the causes of action or allegations asserted in the Complaint. (Daneshi Decl., ¶ 6.) Thus, the Court finds the meet and confer requirement has not been satisfied.

However, a determination that the meet and confer process was not sufficient is not grounds to deny a motion for judgment on the pleadings. (Code Civ. Proc., § 439, subd. (a)(4).) Therefore, Defendant's failure to even attempt meet and confer is not a sufficient basis on which the Court may deny the motion. The Court notes that meeting and conferring here likely could have avoided needless motion practice.

Other Procedural Issues – The Court notes a plethora of other material procedural issues and defects presented in Defendant's motion. The Court addresses these issues, infra, in its discussion on the merits of the motion.

III. Request for Judicial Notice

Defendant's Request for Judicial Notice – Defendant requests that the Court take judicial of the following documents:

1. Exhibit A: Recorded Memorandum of Supply Covenant and Right of First Refusal, Instrument No. 20220979232, including legal description.

2. Exhibit B: February 10, 2026 Judgment for Possession in Phoenix Thottam v. Saib Alrabadi; S&F Alrabadi Inc., Case No. 26AVCV00038, canceling the rental agreement and forfeiting the lease.

3. Exhibit C: March 26, 2026 Minute Order in Case No. 26AVCV00038 denying the motion to set aside/vacate judgment and lifting the stay.

4. Exhibit D: April 17, 2026 Minute Order in Case No. 26AVCV00038 denying ex parte application to shorten time and stay sheriff eviction proceedings.

5. Exhibit F: Anabi Oil Corporation's Verified Complaint in this action, Case No. 26AVCV00577.

6. Exhibit G: Defendant Phoenix Thottam's Verified Answer and Affirmative Defenses in this action.

7. Exhibit H: Defendant and Cross-Complainant Phoenix Thottam's Verified Cross-Complaint in this action.

8. Exhibit I: Anabi Oil Corporation's Notice of Pendency of Action / Lis Pendens concerning the Property.

9. Exhibit K: Plaintiff's Notice of Post-Judgment Property Destruction, UST Safety and Compliance Concerns, and/or Notice of Post-Judgment Misconduct with photographic compendium filed or lodged in Case No. 26AVCV00038, for the existence and content of the filing and related court record only.

California Evidence Code section 452 permits judicial notice being taken of records of any court of California and any facts and propositions not reasonably subject to dispute and capable of immediate and accurate determination by resort to sources of reasonably indisputable accuracy. (Evid. Code., § 452, subd. (c), (h).) California Evidence Code section 453 mandates a court take judicial notice of a matter specified in section 452 if a party so requests, gives the adverse party sufficient notice through pleadings or otherwise, and furnishes the court with sufficient information to enable it to take judicial notice. (Evid. Code, § 453, subd. (a), (b).) A court may also properly take judicial notice of recorded documents. (Md. Casualty Co. v. Reeder (1990) 221 Cal.App.3d 961, 977; Evans v. California Trailer Court, Inc. (1994) 28 Cal.App.4th 540, 549 (disapproved in part on other grounds) [courts may take judicial notice of recorded deeds].) The Court may take judicial notice “not only of the existence and recordation of recorded documents but also of a variety of matters that can be deduced from the documents.” (Fontenot v. Wells Fargo Bank, N.A. (2011) 198 Cal.App.4th 256, 265 (overruled in part on other grounds).)

Defendant’s request is therefore GRANTED and the Court takes judicial notice of the fact of the listed filings. The Court does not take judicial notice of any disputed facts within.

Judicial Notice of Case No. 26AVCV00038 – A court may take judicial notice of the official acts or records of any court in this state on its own motion. (Evid. Code, § 452, subd. (d).) “Pursuant to this authority, a trial court may take notice of the prior judgment in deciding whether to sustain a demurrer based upon res judicata.” (Carroll v. Puritan Leasing Co. (1978) 77 Cal.App.3d 481, 486; see also Cal. Rules of Court, rule 81115(b).)

Here, the moving, opposition, and reply papers properly invoke judicial notice of the existence of, and documents filed within, Phoenix Thottam v. Saib Alrabadi, et al., filed on January 9, 2026 in the Los Angeles County Superior Court, bearing Case

No. 26AVCV00038. (Code Civ. Proc. § 431.70 ["When the ground of demurrer is based on a matter of which the court may take judicial notice pursuant to Section 452 or 453 of the Evidence Code, such matter shall be specified in the demurrer, or in the supporting points and authorities for the purpose of invoking such notice, except as the court may otherwise permit."] The Court finds that all parties and the Court have been properly apprised of the existence of the case, the adjudication of the matter and legal effect thereof, and subsequent appellate actions taken. Both parties rely, to some extent, on the existence of the register of actions and the legal effect of certain documents, namely (1) the Judgment, entered on February 10, 2026, and (2) Defendant Alrabadi's appeal, and the parties have been given adequate notice and opportunity to be heard as to the preclusive effect of the judgment, if any.

Therefore, on its own motion, the Court takes judicial notice of the existence of LASC Case No. 26AVCV00038, the Judgment entered therein in favor of Defendant Thottam, and the subsequent filings evidencing a pending appeal pursuant to Evidence Code section 452, subdivision (d). The Court does not take any disputed fact as true and only takes judicial notice of the existence of the case and documents and their legal effect.

IV. Evidentiary Objections

Plaintiff's Evidentiary Objections – Plaintiff objects to the following portions of Defendant's Declaration filed in support of his Motion:

1. ¶ 3 – "The Memorandum refers to the Retail Sales Agreement and Retailer Facility Development Incentive Agreement. I have asked Anabi to produce those agreements, and any amendments, extensions, assignments, assumptions, or other writings on which Anabi relies for any continuing or surviving claim against the Property."

2. ¶ 4 – "To my knowledge, the Memorandum does not identify or particularly describe any land owned by Anabi as a benefited dominant parcel or benefited estate."

3. ¶ 8 – "On April 6, 2026, I sent correspondence to Anabi's counsel explaining my position that Anabi had no presently enforceable ROFR or Supply Covenant after the underlying leasehold had been judicially canceled and forfeited and that any claimed land-running right required an independent legal basis. True and correct copies of that correspondence and the related email chain are attached as Exhibit E."

4. ¶ 9 – "In the April 6 correspondence, I requested that Anabi identify the precise legal basis for any claimed surviving right and produce the underlying Retail Sales Agreement, Retailer Facility Development Incentive Agreement, and any amendments, extensions, assignments, assumptions, or other writings on which Anabi relied."

5. ¶ 10 – "Anabi's counsel disputed my legal position. However, Anabi did not produce the requested underlying agreements within the requested seven-day period and did not identify any authority establishing that Anabi, as a fuel marketer with no identified benefited land, holds a post-forfeiture covenant running with my fee estate."

6. ¶ 11 – "After the possession judgment, I pursued replacement-operator arrangements to mitigate damages and restore the gas station to productive use. I have received multiple replacement-operator LOIs/proposals, including signed LOI materials involving Jason/Salamh, Shaunt Karaghossian,and Austin Pola, and I understand there are three signed LOI/prospect materials in total. Representative LOI materials are attached as Exhibit J."

7. ¶ 12 – "The March 2, 2026 Jason/Salamh LOI was expressly nonbinding except for limited provisions and stated that it was not a lease, not an option, not an agreement to lease, and that no party would have any obligation unless and until a final written lease was negotiated, signed, and delivered and required funds were received in cleared funds."

8. ¶ 13 – "The Austin Pola LOI proposed $15,500 per month in base rent, $108,500 in advance rent, and a $31,000 security deposit, and stated that no lease would be effective and no rights would be granted unless and until a definitive written lease had been executed by both parties and all required funds had been delivered in cleared funds. Shaunt Karaghossian has proposed $15,750 per month in base rent."

9. ¶ 14 – "To my knowledge, before Anabi asserted its claims there was no final, fully executed lease, sale agreement, or other binding transfer agreement in effect that would provide a complete and exact agreement package capable of being matched by Anabi under the Memorandum."

10. ¶ 16 – "Since Anabi's counsel communicated with prospective operators and Anabi filed this action, Anabi's asserted position has impaired my ability to lease, title, finance, restore, and return the Property to productive use."

11. ¶ 17 – "After the former tenant vacated, I inspected the Property and observed that the gas station had not been left in a complete, safe, or operating condition. I observed stripped or missing components, open or unsecured fuel-system/tank access points, exposed hoses, lines, wiring, and disassembled equipment. Attached as Exhibit K is a true and correct copy of my April 22, 2026 Notice of Post-Judgment Property Destruction, UST Safety and Compliance Concerns, and Reservation of Rights."

12. ¶ 18 – "I attempted to communicate with the former tenant and/or his representatives regarding the condition of the site, securing the premises, and restoring or accounting for integrated systems, but to date the former tenant has not meaningfully responded to my communication attempts after eviction."

13. ¶ 19 – "The Property requires securement, inspection, and restoration by qualified contractors and/or UST, fuel-system, environmental, and petroleum-operation professionals. In my view, Anabi's asserted veto and lis pendens interfere with those efforts and with replacement-operator negotiations."

Presentation of extrinsic evidence, including by way of declaration, is not proper on a motion for judgment on the pleadings. , It is error for the Court to consider it.. (Sykora v. State Dept. of State Hospitals (2014) 225 Cal.App.4th 1530, 1534-35.) Defendant attempts to introduce extrinsic evidence by way of declaration and presentation of exhibits. His doing so is improper and not only will not, but cannot be considered in ruling on the present motion. Moreover, for the reasons discussed, infra, to the extent Defendant contends the declaration may be considered regarding his Requests for Declaratory Relief, the Court rejects this argument, and these statements and accompanying evidence will not be considered, as Defendant's request is unsupported by law, impermissible, and legally untenable. Plaintiff's objections are SUSTAINED.

Plaintiff further objects to Defendant's Section 439 Meet and Confer Declaration to the extent that it asserts compliance with the meet and confer requirement, that it falsely asserts Defendant properly identified specific claims and allegations which he contends are legally defective, and that it conditions compliance with the meet and confer requirement on whether Plaintiff satisfied a unilateral pre-litigation document demand. (Plaintiff's Evid. Obj., Nos. 14-17.) Plaintiff's objections are SUSTAINED.

V. Legal Standard

Standard for Motion for Judgment on the Pleadings – A defendant may move for judgment on the pleadings where "[t]he complaint does not state facts sufficient to constitute a cause of action against that defendant." (Code Civ. Proc., § 438(c)(1)(B)(ii).) "A motion for judgment on the pleadings may be made at any time either prior to the trial or at the trial itself. [Citation.]" (Ion Equipment Corp. v. Nelson (1980) 110 Cal.App.3d 868, 877 (disapproved on other grounds).) The grounds for the motion must appear on the face of the challenged pleading or from any matter of which the court is required to take judicial notice, or from matter of which the court is permitted to take judicial notice pursuant to Evidence Code section 452 or 453 if specified in the notice of motion or in the supporting points and authorities. (Code Civ. Proc., § 438, subd. (d).)

“A motion for judgment on the pleadings performs the same function as a general demurrer, and hence attacks only defects disclosed on the face of the pleadings or by matters that can be judicially noticed. Presentation of extrinsic evidence is therefore not proper on a motion for judgment on the pleadings.” (Cloud v. Northrop Grumman Corp. (1998) 67 Cal.App.4th 995, 999 (citations omitted).) “The standard for ruling on a motion for judgment on the pleadings is essentially the same as that applicable to a general demurrer, that is, under the state of the pleadings, together with matters that may be judicially noticed, it appears that a party is entitled to judgment as a matter of law.” (Bezirdjian v. O'Reilly (2010) 183 Cal.App.4th 316, 321–322 (citing Schabarum v. California Legislature (1998) 60 Cal.App.4th 1205, 1216).)

“If a pleading is defective but amendable, judgment on the pleadings should be granted but with leave to amend.” (Olsen v. Lockheed Aircraft Corp. (1965) 237 Cal.App.2d 737, 742.)

VI. Discussion

Application – Defendant moves for Judgment on the Pleadings pursuant to Code of Civil Procedure sections 438 and 439, and for Declaratory Relief determining the validity, enforceability, scope, and legal effect of the memorandum and that Plaintiff’s asserted rights were extinguished when the rental agreement was canceled and the lease was forfeited pursuant to Code of Civil Procedure section 1060.

Code of Civil Procedure section 1060 provides that any person interested under a written instrument or contract, or who desires a declaration of his or her rights or duties with respect to another, or in respect to, in, over or upon property, may, in cases of actual controversy relating to the legal rights and duties of the respective parties, bring an original action or cross-complaint in the superior court for a declaration of his or her rights and duties in the premises, including a determination of any question of construction or validity arising under the instrument or contract. He or she may ask for a declaration of rights or duties, either alone or with other relief; ¿and the court may make a binding declaration of these rights or duties, whether or not further relief is or could be claimed at the time. (Code Civ. Proc., § 1060.) The declaration may be either affirmative or negative in form and effect, and the declaration shall have the force of a final judgment. (Id.)

a. Defendant’s Motion for Judgment on the Pleadings

As a preliminary matter, the Court notes that Defendant’s Motion for Judgment on the Pleadings appears to be a hybrid motion, seeking both judgment on the pleadings on somewhat uncertain grounds, along with declaratory relief, essentially amounting to a complete adjudication of the Declaratory Relief causes of action asserted in his Cross-Complaint. The Court will first address Defendant’s Motion for Judgment on the Pleadings to the extent that the Court cansort out the arguments. Before reaching the merits of Defendant’s arguments, the Court addresses the substantive procedural issues in the Motion itself.

i. The Notice of Motion is Defective

As Plaintiff points out in opposition, Defendant’s notice of motion is defective. A motion for judgment on the pleadings may only be made by a defendant on the grounds that the court has no jurisdiction of the subject of the cause of action alleged in the complaint or that the complaint does not state facts sufficient to constitute a cause of action against that defendant. (Code Civ. Proc., § 438, subd. (c)(1)(B).) The motion may be made as to the entire complaint, or as to any of the causes of action stated therein. (Code Civ. Proc., § 438, subd. (c)(2)(A).)

Defendant’s notice of motion states that he is moving for “judgment on the pleadings and declaratory relief resolving the threshold legal issue that controls this case: whether [Plaintiff] has any presently enforceable right of first refusal or fuel-supply covenant burdening [Defendant’s Property] after the former retailer’s lease was judicially canceled and forfeited.” (Notice of Motion, p. 2:6-9.) Defendant’s notice of motion does not specify on what grounds he is moving, or whether he brings the motion to the entire Complaint or as to any certain causes of action therein. The Notice, therefore, violates Code of Civil Procedure section 1010, which requires notices state “the grounds upon which it will be made,” California Rules of Court, rule 3.1110(a), which requires that a notice of motion “state in the opening paragraph the nature of the order being sought and the grounds for issuance of the order,” and Rules of Court rule 3.1112(d)(4), which requires that a motion must, “[i]f a pleading is challenged, state the specific portion challenged.”

“A basic principle of motion practice is that the moving party must specify for the court and the opposing party the grounds upon which that party seeks relief.” (Luri v. Greenwald (2003) 107 Cal. App. 4th 1119, 1125.) “Only the grounds specified in the notice of motion may be considered by the trial court.” (Gonzales v. Superior Court (1987) 189 Cal. App. 3d 1542, 1545.) However, “[a]n omission in the notice may be overlooked if the supporting papers make clear the grounds for the relief sought.” (Luri, supra, 107 Cal.App.4th at 1125.) “Even though the notice of motion fails to state a particular ground for the motion, where the notice states…that the motion is being made upon the notice of motion and accompanying papers and the record, and these papers and the record support that particular ground, the matter is properly before the court and the defect in the notice of motion should be disregarded.” (Carrasco v. Craft (1985) 164 Cal. App. 3d 796, 808.)

The Notice states that it is based on the Notice, accompanying Memorandum of Points and Authorities, Request for Judicial Notice, and various other extrinsic evidence (addressed below). All of these documents, including the Motion itself, omit any clear assertion that either the Complaint or certain causes of action fail to state facts sufficient to constitute a cause of action. Within the Memorandum of Points and Authorities, Defendant asserts that each cause of action asserted in the Complaint depends on the premise that the Memorandum remains enforceable. (Motion, p. 5:6-9.) The Motion, generally, argues the opposite. The Court is left to assume, then, that the Motion is brought against the Complaint in its entirety for failing to state facts sufficient to constitute any cause of action on the grounds that the Memorandum is, as a matter of law, unenforceable, and all causes of action therefore must fail. The Motion, however, goes far beyond this assumption. For example, the Motion argues that the LOIs received by Defendant were preliminary and not final matchable transactions (Motion, p. 6:23-24), that Plaintiff failed to provide agreements as requested by Defendant (Motion, p. 7:18-22), that the Property is in dire need of securement and restoration for safe, productive use (Motion, p. .7:24-8:6) and that Plaintiff’s interpretation creates an unreasonable restraint on alienation, and as such, “the Court should construe the Memorandum narrowly” as “[t]he correct construction is simple: no current ROFR exercise right exists absent a final matchable agreement; no supply covenant runs with the fee estate; and any lease-dependent fuel-operation rights ended with the lease forfeiture” (Motion, p. 12:7-14.)

As discussed, a motion for judgment on the pleadings is limited only to the face of the challenged pleading and judicially noticeable documents. To the extent the Motion attempts to argue the interpretation of the Memorandum the Court should adopt, that the Court should grant Defendant’s Motion because the Property is in need of remediation, or that the LOIs Defendant received should be considered preliminary and non-binding, these arguments are improper and are disregarded.

However, in the interests of adjudicating the present motion, the Court will exercise its discretion to consider the Motion for Judgment on the Pleadings to the extent that it is permissibly argued and intelligible. The Court will rule on the only cognizable interpretation, i.e., that the Motion is brought to the Complaint as a whole on the grounds that “[e]very pleaded cause of action depends on [Plaintiff] proving a surviving, presently enforceable ROFR or Supply Covenant,” and that all causes of action fail because the Complaint fails to state facts sufficient to support an enforceable agreement exists, as all such rights were extinguished by the former tenant’s forfeiture.

ii. Evidence Presented in Support of the Motion

The next glaring procedural issue with Defendant’s motion is his attempt to introduce extrinsic evidence to counter the factual allegations in the Complaint. For example, Defendant’s Request for Judicial Notice states “Defendant separately submits Exhibits E and J through the Declaration of Phoenix Thottam for evidentiary purposes: April 6, 2026 correspondence with Anabi's counsel and the nonbinding replacement-operator LOI materials. Defendant also authenticates the factual observations concerning the condition of the Property in his declaration, without asking the Court to judicially notice the truth of disputed facts contained in the other case file.” (RJN, p. 18:2-4 (emphasis added).) Defendant’s Motion states that it is based, in part, on "the exhibits filed concurrently." (Motion, p. 3:2-5.) Defendant's Proposed Order, filed concurrently with his Motion, reads, in pertinent part: "Having considered the papers, arguments, pleadings, judicially noticeable records, and evidence submitted…the Court orders as follows..." (Proposed Order, p. 25:6-7.)

A motion for judgment on the pleadings on the grounds that a complaint fails to state facts sufficient to constitute a cause of action, like a demurrer, must be based only on the pleading itself and judicially noticeable documents. Presentation of extrinsic evidence is improper on a motion for judgment on the pleadings, the Court's consideration thereof is not permitted, and any unresolved factual issues may not be considered. (Sykora, supra, 225 Cal.App.4th at 1534-35.) Much of Defendant's Motion, all exhibits provided of which the Court did not take judicial notice, and virtually all of Defendant's Reply must be disregarded for the purposes of ruling on Defendant's Motion for Judgment on the Pleadings as they do not speak to the sufficiency of the Complaint, but rather, attempt to persuade the Court to adjudicate disputed factual issues one way or another. Such a request is improper.

Therefore, Defendant's factual arguments and non-judicially noticed evidence presented in support of the Motion are disregarded. All allegations pled in Plaintiff's Complaint will be taken as true.

iii. Defendant's Supplemental Filings, Declarations, and Notices

Plaintiff filed separate objections to Defendant's numerous filings since the filing of the present Motion. The Court does not consider any of Defendant's filings, all of which pertain to irrelevant circumstances extrinsic to a motion for judgment on the pleadings.

iv. Merits of Defendant's Motion for Judgment on the Pleadings

As discussed, Defendant's motion rests on one issue: whether the Complaint fails to establish the existence of a legally enforceable ROFR or Supply Covenant.

Turning to Defendant's few permissible arguments regarding the sufficiency of Plaintiff's Complaint, Defendant contends that "[t]he lease forfeiture is dispositive of all lease-dependent and retailer-dependent rights," that California law does not permit a party to preserve dependent leasehold interests after the underlying leasehold is properly terminated, and "[t]o the extent [Plaintiff's] claimed rights depended on the former retailer's leasehold or operations, they fell with that leasehold." (Motion, 9:5-16.) Defendant also cites to numerous cases supporting his argument that a ROFR is not an essential term that carries into a holdover tenancy unless the parties so indicate, and Plaintiff's option rights did not survive the end of the lease relationship with Defendant's former tenant. (Motion, p. 9:17-24.)

The Court notes that there is no final judgment terminating the prior tenancy. In Case No. 26AVCV00038, default judgment was entered in favor of Defendant Thottam and against his former tenant Saib Alrabadi on February 10, 2026, ordering that Defendant is the party entitled to possession of the Property, that the rental agreement was canceled, and the lease was forfeited. Alrabadi's motion to set aside and vacate the judgment was denied on March 26, 2026. On May 26, 2026, Alrabadi filed a notice of his appeal of the Court's denial of his motion on March 26, 2026. As of the date of this Order, his appeal is still pending.

An action is pending from the time of commencement until its final determination on appeal. (Code Civ. Proc., § 1049.) "[A] judgment does not become final so long as the action in which it was rendered is pending and an action is deemed pending until it is finally determined on appeal or until the time for appeal has passed. The determination of the issue in the case is held in abeyance until the appeal is finally decided by an appellate court and the appeal operates to 'keep alive the case … as it existed before the judgment was rendered.'" (McKee v. National Union Fire Ins. Co. (1993) 15 Cal. App. 4th 282, 288.)

Defendant's entire argument fails on this ground alone. Defendant requests the Court make a finding that any once-valid ROFR or Supply Covenant granted by Defendant to Plaintiff was terminated upon the default judgment entered in

Defendant’s favor. However, this is not a final judgment. If, for any reason, the reviewing court agrees with Alrabadi that the Court erred in denying his motion to vacate the judgment terminating his leasehold, his leasehold would not, in fact, be terminated or forfeited, and any Order of this Court predicated on that termination or forfeiture would necessarily be vacated. The Court therefore declines to entertain this argument.

Even if the Court were to consider Alrabadi’s leasehold conclusively terminated, the Court finds that Plaintiff’s Complaint states facts sufficient to establish a valid and enforceable ROFR and Supply Covenant exist. Turning to the Complaint itself, Plaintiff alleges the following relevant facts: (1) Defendant executed the Memorandum of Supply Covenant and ROFR in favor of Plaintiff which was duly recorded against the Property, (2) the Memorandum reflects a direct grant by Defendant of enforceable rights to Plaintiff until at least May 31, 2031, (3) the Memorandum is a binding agreement between Plaintiff and Defendant and applies to the Property and all future transfers, leases, and operations thereof, (4) the rights granted to Plaintiff in the Memorandum are not limited to any particular tenant or leasehold estate, but govern Defendant's conduct as the owner and grantor with respect to the Premises, (5) Defendant is obligated under its terms to provide Plaintiff notice and opportunity to exercise its ROFR in connection with any proposed transfer, lease, or disposition of interest, (6) the ROFR is triggered when Defendant receives or makes a bona fide offer related to such a transaction (7) the Memorandum obligates Defendant to act in good faith in administering Plaintiff’s rights, and (8) Plaintiff has at all times been ready, willing, and able to exercise its rights under the Memorandum and has acted in good faith to preserve and enforce those rights. (Compl., ¶¶ 14-18.)

The recorded Memorandum at issue is attached to the Complaint as Exhibit A, and provided by Defendant as Exhibit A to his Request for Judicial Notice. The Memorandum was recorded on October 12, 2022 and reads, in relevant part, as follows:

THIS MEMORANDUM OF SUPPLY COVENANT AND RIGHT OF FIRST REFUSAL ("Memorandum"), effective as of August 28, 2018 ("Effective Date"), is granted by Phoenix Thottam, an individual ("Landlord"), S.F.J ALRABADI, INC., a California corporation ("Retailer"), with offices at 13100 Pearblossom Hwy, Pearblossom, CA 93553, for the benefit of Anabi Oil Corporation, a California corporation ("Marketer"), having an address at 1450 N. Benson Avenue, Upland, California 91786.

Commencing on the Effective Date for the period through and including May 31, 2031 ("ROFR Period"), as such may be amended or extended pursuant to the terms of the Retail Sales Agreement and Retailer Facility Development Incentive Agreement between the parties hereto (collectively the "Agreements"), Landlord hereby irrevocably grants to Marketer, including its successors and assigns, a right of first refusal with regards to the transfer or sale of any of Landlord’s interest (whether fee, leasehold, business, or motor fuel) in the real property and improvements situated at 13100 Pearblossom Hwy., Pearblossom, County of Los Angeles, State of California, more particularly described on Exhibit A attached and incorporated as a part hereof ("Premises"), and of the sale of motor fuel on the Premises. If at any time during the term of the ROFR Period or any extension thereof, Landlord receives from a ready, willing and able third-party purchaser or lessee ("Transferee") an acceptable bona fide offer to purchase, lease or sublease, or Landlord makes a bona fide offer to a Transferee to sell, lease or sublease, the Premises, Landlord shall offer to Marketer a right of first refusal, in writing, giving Marketer the right to purchase, lease or sublease the Premises on the same terms and conditions expressly agreed to between Landlord and Transferee. In connection therewith, Landlord shall provide Marketer with a copy of any environmental assessment reports for the premises on which Landlord's Real Property is located or notice that no such reports exist along with a complete copy of the offer of the right of first refusal. Marketer will have 60 days after receipt of the offer and of a complete and exact copy of the agreement between Landlord and Transferee to accept or reject the offer. If Marketer rejects the offer or does not give notice of its decision to exercise its right of first refusal prior to expiration of the 60-day period, Landlord may make the proposed sale or lease to Transferee, but not at a lower price or on more favorable terms than those offered to Marketer. If Landlord seeks to consummate the transaction between Landlord and Transferee more than 4 months from the expiration of the 60-day period or on different terms than those offered to Marketer, Landlord shall re-offer the Premises to Marketer in accordance with the foregoing provisions.

Landlord further acknowledges and agrees that Marketer, including its successors and assigns, is and shall remain the exclusive supplier of gasoline and motor fuel to the Premises commencing on the Effective Date for the period through and including May 31, 2031, as such date may be amended or extended pursuant to the Agreements (herein referred to as the "Supply Covenant"). This Supply Covenant provided to and for the benefit of Marketer shall apply to any and all subsequent agreements relating to the supply of gasoline and diesel fuel to the Premises. Landlord agrees that any subsequent assignment, transfer, conveyance or sale, whether partial or full, of the Premises, the improvements and/or the real property on the Premises (whether fee or leasehold interest) shall be subject to the Supply Covenant herein described and provided to and for the benefit of AOC.

The benefits of the Supply Covenant and Right of First Refusal shall inure to the benefit of Marketer, its successors and assigns. The burdens of the Supply Covenant and Right of First Refusal shall apply to the entirety of the Premises, shall pass with each and every portion of the Premises, and shall apply to and bind Landlord' respective successors, assigns, transferees and subsequent owners in interest of the real property and improvements situated on the aforementioned premises. Landlord agrees to include the foregoing restrictions, covenants and conditions in any conveyance or assignment of the Premises to a successor grantee or subsequent owners in interest and, as a condition of any conveyance of the Premises, to require successor grantees and subsequent owners in interest to enter into an agreement assuming all obligations under this Memorandum.

(Compl., Ex. A, p. 1 (emphasis added).) The Memorandum is signed by Alrabadi, Defendant, and Rawa Anabi, Vice President of Plaintiff Anabi Oil Corporation. (Compl., Ex. A, p. 2.)

Defendant's argument that the Memorandum terminated upon the termination of Alrabadi's leasehold is contradicted by the terms of the Memorandum itself, and as construed in favor of Plaintiff. First, there is no language stating or implying that the Memorandum was in effect only so long as Alrabadi's leasehold was in effect. On the contrary, the Memorandum states that "[Defendant] hereby irrevocably grants to [Plaintiff]…a right of first refusal with regards to the transfer or sale of any of [Defendant's] interest (whether fee, leasehold, business, or motor fuel) in the [Property], and of the sale of motor fuel on the Premises," commencing August 28, 2018 through and including May 31, 2031.

Second, Defendant appears to argue the Memorandum was executed with the intent that it be derivative of Alrabadi's leasehold and that all rights afforded to Plaintiff would terminate upon the termination or forfeiture of the same. However, what Defendant does not address is why, if that were the case, the Memorandum expressly provides for an irrevocable ROFR regarding transfer of Defendant's interest, including transfer to another via subsequent leasehold, if Plaintiff's rights would terminate automatically upon termination of Alrabadi's lease. Again, Defendant's position is not supported by the allegations in the Complaint or the exhibits the Complaint incorporates.

Taking all allegations in the Complaint as true, and considering the language of the Memorandum, Plaintiff has stated facts sufficient to establish that it does have a valid ROFR regarding any transfer of the Property and regarding the sale of motor fuel on the Property and a valid and enforceable Supply Covenant.

As Defendant failed to move for judgment on the pleadings on any other cognizable basis, the Court ends its analysis there. Defendant's Motion for Judgment on the Pleadings is DENIED.

b. Defendant's Request for Declaratory Relief

As discussed, Defendant's Motion is largely not focused on the sufficiency of the Complaint itself, but rather, is targeted at resolving factual disputes regarding the parties' rights and obligations under the Memorandum and seeks various forms of declaratory relief.

"In an action for declaratory relief, either a general demurrer or a motion for summary judgment is an appropriate proceeding to declare the rights of the parties if they can be determined as a matter of law." (Arroyo v. Regents of University of California (1975) 48 Cal. App. 3d 793, 795-796.) "Strictly speaking, a general demurrer is not an appropriate means of testing the merits of the controversy in a declaratory relief action because plaintiff is entitled to a declaration of his rights even if it be adverse. [Citation.] However, where the issue is purely one of law, if the reviewing court agreed with the trial court's resolution of the issue it would be an idle act to reverse the judgment of dismissal for a trial on the merits. In such cases the merits of the legal controversy may be considered on an appeal from a judgment of dismissal following an order sustaining a demurrer without leave to amend and the opinion of the reviewing court will constitute the declaration of the legal rights and duties of the parties concerning the matter in controversy. [Citations]." (Taschner v. City Council (1973) 31 Cal.App.3d 48, 57.)

Therefore, the Court may award declaratory relief where a Motion for Judgment on the Pleadings is granted without leave to amend and granted as a matter of law. Here, Defendant's motion is denied. Defendant is not entitled to any declaratory relief related to his Motion.

Furthermore, Defendant is incorrect in arguing that Code of Civil Procedure section 1060 permits a standalone request or motion be brought for declaratory relief. Section 1060's language only permits a party seeking declaratory relief to "bring an original action or cross-complaint in the superior court for a declaration of his or her rights and duties in the premises." There is no reading of Section 1060 that gives rise to the notion that a party may bring a specific motion or request for declaratory relief, and Defendant has not identified, nor is the Court aware, of any such avenue for relief. Section 1060 gives rise to a party's right to bring an action for declaratory relief. Defendant has done so in his Cross-Complaint, which is permitted. What Defendant is not permitted to do is intertwine his own causes of action with a motion for judgment on the pleadings in an attempt to obtain a more expeditious result on disputed factual issues that are not able to be adjudicated as a matter of law, which is precisely what Defendant requests the Court do here.

Indeed, Defendant's Motion expressly states: "To the extent the Court can resolve the issue from the face of Anabi's pleading, the recorded Memorandum attached to it, and judicially noticeable court records, the Court may grant judgment on the pleadings under Code of Civil Procedure section 438. To the extent the Court considers declarations, LOIs, April 6 correspondence, and the post-judgment property-condition record, Defendant requests declaratory relief under Code of Civil Procedure section 1060 determining the present validity, enforceability, and scope of the Memorandum." (Motion, p. 5:14-19.) Defendant's Motion effectively concedes that his requests for declaratory relief are (1) not determinable as a matter of law, and (2) exceed the scope of the Motion for Judgment on the Pleadings.

All of Defendant's request for relief are DENIED.

VII. Conclusion

Defendant Phoenix L. Thottam's Motion for Judgment on the Pleadings and Declaratory Relief re Invalidity, Extinguishment, and Non-Enforceability of Asserted Right of First Refusal and Supply Covenant Following Lease Cancellation and Forfeiture is DENIED.